Value Investing Portfolio Report

PORTFOLIO CONSTRUCTION • PERFORMANCE ANALYSIS • RISK ASSESSMENT

PORTFOLIO MANAGER

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BENCHMARK

State Street SPDR S&P 500 ETF (SPY)

PORTFOLIO OVERVIEW

25 Holdings | USD 2,385.30

INVESTMENT STRATEGY

Value Investing

EVALUATION PERIOD

1 July 2025 – 13 July 2026
(Back-tested Performance Analysis)

INVESTMENT HIGHLIGHTS

- 25 Diversified Holdings
- 30.30% Total Return
- 3.82% Active Outperformance
- Bloomberg Portfolio Analytics
- Comprehensive Risk Assessment



Executive Summary

The **Value Fund Portfolio** is a diversified portfolio of **25 U.S. listed equities** constructed using a disciplined value investing strategy. The investment objective is to identify fundamentally strong companies trading below their intrinsic value through rigorous bottom-up fundamental analysis and independent valuation. To support the investment process, comprehensive institutional equity research reports were prepared for the portfolio's **ten highest-conviction holdings**, incorporating business analysis, industry analysis, fundamental analysis and valuation using the Discounted Cash Flow (DCF) and EV/EBITDA methodologies.

To evaluate the effectiveness of the investment strategy over a one-year investment horizon, the portfolio was established using a historical inception date of **1 July 2025**. Bloomberg Portfolio & Risk Analytics was subsequently used to measure portfolio performance from inception to the reporting date, enabling a consistent assessment of portfolio returns, attribution and risk without requiring a live one-year holding period.

Throughout the evaluation period, the portfolio consistently generated positive excess returns relative to the **State Street SPDR S&P 500 ETF (SPY)** benchmark. Active outperformance increased progressively from **1.04%** following portfolio inception to **2.03%** during the intermediate evaluation period, before reaching **3.82%** in the most recent analysis. The improvement demonstrates the effectiveness of the portfolio's value-oriented investment process and reflects the continued contribution of disciplined security selection and sector allocation.

The portfolio maintains diversified exposure across multiple sectors while emphasising companies with attractive valuation multiples, sustainable free cash flow generation, healthy balance sheets and durable competitive advantages. Supported by systematic portfolio monitoring using Bloomberg Portfolio & Risk Analytics, the Value Fund Portfolio demonstrates the successful implementation of a disciplined value investing framework capable of generating sustainable long-term risk-adjusted returns.

Investment Philosophy

The Value Fund Portfolio follows a disciplined **fundamental value investing** philosophy focused on identifying high-quality businesses trading below their estimated intrinsic value. Investment decisions are driven by long-term fundamentals rather than short-term market sentiment, with emphasis placed on sustainable earnings growth, resilient free cash flow generation, attractive dividend yields and durable competitive advantages.

Companies were initially screened using quantitative metrics including valuation multiples, dividend yield, profitability, leverage, free cash flow generation and balance sheet strength. Investments satisfying these criteria underwent further qualitative assessment through business and industry analysis. The portfolio's **ten highest-conviction holdings** were subsequently analysed in detail using comprehensive institutional equity research incorporating financial statement analysis, DCF valuation and EV/EBITDA multiple valuation to determine intrinsic value and establish an appropriate margin of safety.

The portfolio is managed with a long-term investment horizon and aims to generate capital appreciation through disciplined security selection while maintaining diversification across sectors to reduce company-specific risk. Portfolio construction and ongoing monitoring are supported by Bloomberg Portfolio & Risk Analytics, ensuring that investment decisions remain aligned with the portfolio's value investing objectives.

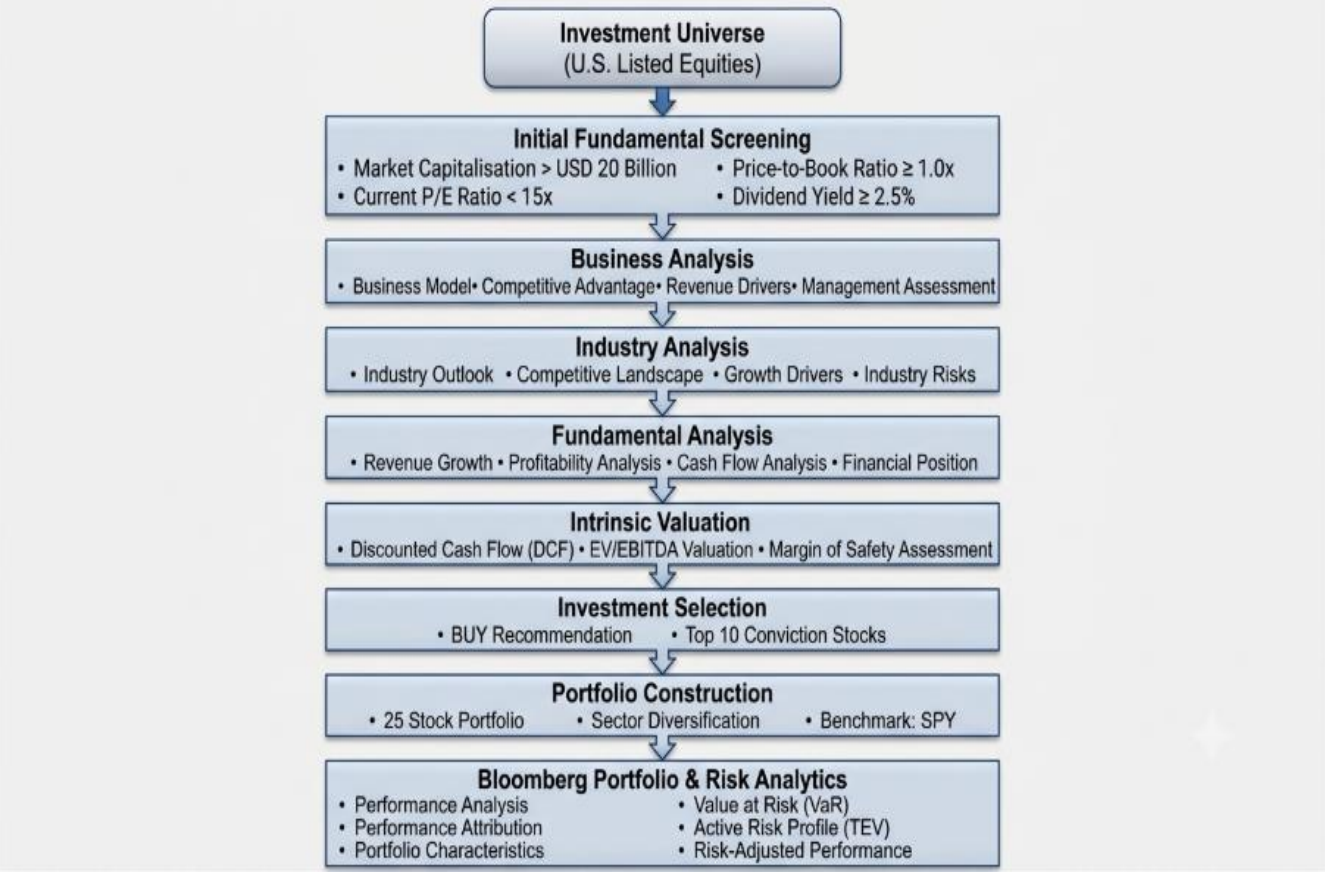


Figure 2.1 Portfolio Construction Process

Portfolio Construction

The Value Fund Portfolio comprises **25 U.S. listed equities** diversified across multiple GICS sectors, including **Energy, Information Technology, Healthcare, Industrials, Consumer Staples, Consumer Discretionary, Communication Services, Financials, Utilities, Materials and Real Estate**. Portfolio construction emphasises broad sector diversification while maintaining exposure to companies offering attractive long-term value opportunities.

Security selection follows a disciplined bottom-up investment process, with companies evaluated using financial metrics such as valuation multiples, dividend yield, free cash flow generation, profitability, leverage and balance sheet strength before being considered for inclusion. The portfolio's **ten highest-conviction holdings** were further supported by detailed institutional equity research and independent intrinsic valuation, forming the analytical foundation of the portfolio.

Rather than replicating benchmark sector weights, portfolio allocations reflect investment conviction, valuation opportunities and long-term earnings potential. Portfolio exposures, sector allocations and active risk are continuously monitored using Bloomberg Portfolio & Risk Analytics to ensure that diversification objectives are maintained while supporting superior long-term risk-adjusted returns.



1) Save | 2) Actions | 3) Settings | 4) Analyze | Portfolio Administration: Portfolio Display

Portfolio Name VALUE FUND FINAL | ID U32924050-6 | Currency USD
Date 08/07/26 | Display Currency USD
Rebalanced 07/01/25 | Short Margin 0 | Futures Margin 0

						Current					Cost			
	Security	ID	Position	Price	PCS	FX Rate	Principal	Accrued	Market Val	Price	FX Rate	Principal	Accrued	Cost Val	Cost Date
	<Search>														
	Totals						2,385.30	0.00	2,385.30			0.00	0.00	0.00	
	Cash		0.0000												
11	1910 HK	1910	1.0000	13.88	EXCH	0.12746	1.77		1.77		0.12739				07/01/25
12	BMY US	BMY	1.0000	64.15	EXCH	1.00000	64.15		64.15		1.00000				07/01/25
13	COP US	COP	1.0000	116.76	EXCH	1.00000	116.76		116.76		1.00000				07/01/25
14	DVN US	DVN	1.0000	43.11	EXCH	1.00000	43.11		43.11		1.00000				07/01/25
15	EIX US	EIX	1.0000	67.23	EXCH	1.00000	67.23		67.23		1.00000				07/01/25
16	EOG US	EOG	1.0000	136.20	EXCH	1.00000	136.20		136.20		1.00000				07/01/25
17	EPD US	EPD	1.0000	38.05	EXCH	1.00000	38.05		38.05		1.00000				07/01/25
18	ET US	ET	1.0000	20.67	EXCH	1.00000	20.67		20.67		1.00000				07/01/25
19	F US	F	1.0000	13.79	EXCH	1.00000	13.79		13.79		1.00000				07/01/25
20	FANG US	FANG	1.0000	189.63	EXCH	1.00000	189.63		189.63		1.00000				07/01/25
21	FDX US	FDX	1.0000	315.87	EXCH	1.00000	315.87		315.87		1.00000				07/01/25
22	FE US	FE	1.0000	47.37	EXCH	1.00000	47.37		47.37		1.00000				07/01/25
23	GIS US	GIS	1.0000	36.07	EXCH	1.00000	36.07		36.07		1.00000				07/01/25
24	KMB US	KMB	1.0000	108.66	EXCH	1.00000	108.66		108.66		1.00000				07/01/25
25	MET US	MET	1.0000	99.95	EXCH	1.00000	99.95		99.95		1.00000				07/01/25
26	PFE US	PFE	1.0000	26.20	EXCH	1.00000	26.20		26.20		1.00000				07/01/25
27	PRU US	PRU	1.0000	121.50	EXCH	1.00000	121.50		121.50		1.00000				07/01/25
28	RF US	RF	1.0000	31.39	EXCH	1.00000	31.39		31.39		1.00000				07/01/25
29	SLB US	SLB	1.0000	51.54	EXCH	1.00000	51.54		51.54		1.00000				07/01/25
30	T US	T	1.0000	23.71	EXCH	1.00000	23.71		23.71		1.00000				07/01/25
31	TGT US	TGT	1.0000	147.08	EXCH	1.00000	147.08		147.08		1.00000				07/01/25
32	TROW US	TROW	1.0000	113.62	EXCH	1.00000	113.62		113.62		1.00000				07/01/25
33	UNH US	UNH	1.0000	403.97	EXCH	1.00000	403.97		403.97		1.00000				07/01/25
34	UPS US	UPS	1.0000	103.20	EXCH	1.00000	103.20		103.20		1.00000				07/01/25
35	USB US	USB	1.0000	63.81	EXCH	1.00000	63.81		63.81		1.00000				07/01/25
36															

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Figure 3.1 Portfolio

Portfolio Overview

The **Value Fund Portfolio** is an actively managed portfolio comprising **25 U.S. listed equities**, benchmarked against the **State Street SPDR S&P 500 ETF (SPY)**. Constructed using a disciplined value investing framework, the portfolio seeks to identify fundamentally strong businesses trading below their intrinsic value while maintaining diversification across multiple sectors and industries. To support the investment process, detailed institutional equity research reports were prepared for the portfolio's ten highest-conviction holdings.

For performance evaluation purposes, the portfolio was established using a historical inception date of **1 July 2025** and subsequently analysed using **Bloomberg Portfolio & Risk Analytics**. This backtesting methodology enables the portfolio's performance, attribution and risk characteristics to be assessed over a one-year investment horizon without requiring a live holding period. As of the reporting date, the portfolio had a **market value of USD 2,385.30**.

The portfolio exhibits the characteristics of a value-oriented investment strategy when compared with the benchmark. At the portfolio level, it trades at an aggregate **P/E ratio of 14.55x**, significantly below the benchmark multiple of **27.71x**. Similarly, the portfolio's **Price-to-Cash Flow ratio of 7.96x** and **Price-to-Book ratio of 2.45x** remain substantially lower than the benchmark values of **21.23x** and **5.70x**, respectively. In addition, the portfolio offers a **dividend yield of 3.28%**, more than double the benchmark yield of **1.28%**, supporting its objective of generating sustainable shareholder income alongside capital appreciation.

The portfolio maintains a **Current Ratio of 1.01** and an aggregate **Debt-to-Equity ratio of 100.09%**, both below the benchmark, reflecting a balanced approach to financial leverage while preserving liquidity. Although the portfolio's aggregate **Return on Equity (ROE) of 13.49%** is lower than the benchmark's **20.29%**, this is consistent with the portfolio's emphasis on valuation and margin of safety rather than high-growth, premium-priced companies.

Table 4.1 summarises the key characteristics of the Value Fund Portfolio.

Portfolio Characteristic	Value
Portfolio Name	Value Fund Portfolio
Investment Style	Value Investing
Number of Holdings	25
Investment Universe	U.S. Listed Equities
Benchmark	State Street SPDR S&P 500 ETF (SPY)
Portfolio Market Value	USD 2,385.30
Aggregate P/E	**14.55x**
Aggregate Dividend Yield	**3.28%**
Aggregate Price-to-Cash Flow	**7.96x**
Aggregate Price-to-Book	**2.45x**
Aggregate ROE	**13.49%**
Base Currency	USD
Portfolio Inception Date	1 July 2025
Reporting Date	13 July 2026

Table 4.1 Portfolio Summary

Portfolio Performance Analysis

5.1 Overall Portfolio Performance

The overall performance of the Value Fund Portfolio was evaluated against the **State Street SPDR S&P 500 ETF (SPY)**benchmark using Bloomberg Portfolio & Risk Analytics. As of the latest evaluation, the portfolio generated a **Year-to-Date (YTD) return of 23.99%**, substantially outperforming the benchmark return of **10.44%**, resulting in an **active return of 13.55 percentage points**. This indicates that the portfolio successfully generated excess returns through active investment decisions rather than broad market exposure.

Shorter-term performance also remained favourable. Over the **Month-to-Date (MTD)** period, the portfolio returned **4.06%**, compared with **0.24%** for the benchmark, producing an active return of **3.82%**. Similarly, the portfolio recorded a positive **one-day return of 0.96%**, while the benchmark declined by **0.79%**, resulting in a daily active return of **1.75%**. The consistent generation of positive active returns across multiple evaluation periods demonstrates the portfolio's ability to outperform the benchmark under varying market conditions.

Performance across individual sectors further supports the effectiveness of the portfolio's active investment strategy. The strongest contributions during the Year-to-Date period were generated by the **Industrials (31.73%)**, **Energy (27.58%)**and **Health Care (27.57%)** sectors, all of which significantly exceeded the corresponding benchmark returns. Conversely, the portfolio's underweight allocation to **Information Technology**, which represented **0%** of the portfolio compared with **37.07%** of the benchmark, reflects a deliberate value-oriented positioning rather than an attempt to replicate market-cap-weighted index exposures.

Overall, the Bloomberg performance statistics indicate that the Value Fund Portfolio consistently outperformed its benchmark across multiple investment horizons. The portfolio's ability to generate positive active returns over daily, monthly and year-to-date periods provides quantitative evidence that the active portfolio management strategy has successfully added value beyond passive benchmark performance.



Figure 5.1: Bloomberg Portfolio Performance Summary

5.2 Cumulative Performance Analysis

Figure 5.2 illustrates the cumulative performance of the Value Fund Portfolio relative to the **State Street SPDR S&P 500 ETF (SPY)** benchmark over the investment period. To facilitate a one-year performance evaluation, Bloomberg was configured to analyse returns over the period **1 July 2025 to July 2026**, even though the portfolio itself was constructed on **1 July 2026**. This historical back-testing enables the portfolio's investment strategy to be evaluated across a complete market cycle using the selected holdings.

The portfolio experienced an initial period of underperformance relative to the benchmark during the first half of the evaluation period, with the performance differential reaching approximately **-12%** around October 2025. This reflects the short-term challenges often associated with value investing, where fundamentally undervalued companies may temporarily lag broader market performance while their intrinsic value is yet to be recognised.

From early **2026**, portfolio performance improved significantly as several high-conviction holdings began to outperform the market. The portfolio steadily recovered the initial underperformance before exceeding the benchmark around **February 2026**. Thereafter, the performance gap widened consistently, indicating that the portfolio's security selection and sector allocation decisions generated sustained excess returns over the benchmark.

By the end of the evaluation period, the Value Fund Portfolio delivered a cumulative return of approximately **29.20%**, compared with **22.68%** for the SPY benchmark, resulting in an overall outperformance of approximately **6.52 percentage points** over the one-year back-tested period. The steadily increasing positive performance differential observed during the latter half of the investment horizon demonstrates that the portfolio's value-oriented investment strategy required time for market recognition but ultimately generated superior returns relative to passive market exposure.

The progression from early underperformance to sustained benchmark outperformance reinforces the effectiveness of the portfolio construction process. Rather than relying on short-term market momentum, the portfolio benefited from disciplined fundamental analysis, intrinsic valuation and long-term investment conviction, which collectively translated into consistent value creation over the evaluation period.



Figure 5.2: Cumulative Portfolio Performance versus SPY Benchmark (1 July 2025 – July 2026)

Performance Attribution Analysis

Performance attribution was conducted using **Bloomberg Portfolio & Risk Analytics** to evaluate the sources of the portfolio's excess returns relative to the **State Street SPDR S&P 500 ETF (SPY)**. The analysis decomposes active performance into **asset allocation** and **security selection** effects, providing insight into whether outperformance was driven by sector positioning or individual stock selection.

Initial Evaluation Period (Outperformance: 1.33%):
At portfolio inception, the Value Fund Portfolio generated an **active return of 2.38%** relative to the benchmark's return of **1.04%**. Attribution analysis indicates that **asset allocation contributed 0.90%**, while **security selection contributed 0.44%** to overall performance. The positive attribution demonstrates that the portfolio's initial sector positioning and stock selection decisions added value from the outset, providing early validation of the value-oriented investment strategy.

Intermediate Evaluation Period (Outperformance: 2.03%):
During the intermediate evaluation period, portfolio outperformance increased to **2.03%**, reflecting continued improvement in active performance relative to the benchmark. Attribution analysis shows that **security selection contributed 1.45%**, while **asset allocation contributed 0.58%** to excess returns. The stronger contribution from security selection indicates that individual stock selection became the primary driver of portfolio performance as the investment strategy matured, while sector allocation continued to provide positive support to overall returns.

Final Evaluation Period (outperformance: 3.82%):
The portfolio generated a **total active outperformance of 3.82%** during the evaluation period. Attribution analysis indicates that **asset allocation contributed 2.26%**, while **security selection contributed 1.56%** to overall outperformance. These results demonstrate that both strategic sector positioning and disciplined stock selection added value relative to the benchmark, validating the portfolio's active management approach.

The portfolio's active performance also improved progressively throughout the evaluation period. Following portfolio inception, active outperformance measured **1.33%**, increasing to **2.03%** during the intermediate evaluation period before reaching **3.82%** in the latest Bloomberg analysis. This steady improvement suggests that the investment strategy consistently generated excess returns as the portfolio matured.

Among individual holdings, **FedEx, United Parcel Service, MetLife, Diamondback Energy, Prudential Financial, UnitedHealth Group, Target, Kimberly-Clark, General Mills and Edison International** were the largest positive contributors to security selection. Conversely, holdings such as **Enterprise Products Partners, Devon Energy, SLB, Regions Financial, U.S. Bancorp, Pfizer and AT&T** recorded relatively small negative contributions during the evaluation period. Despite these individual detractors, their impact was more than offset by the portfolio's stronger-performing positions, resulting in positive overall active performance.

Sector allocation also contributed positively to portfolio returns. Overweight positions in **Energy**, **Information Technology** and **Financials** generated positive allocation effects, while underweight exposure to certain sectors, including **Industrials** and **Communication Services**, modestly reduced relative performance. Overall, the positive allocation contribution indicates that sector positioning aligned effectively with prevailing market conditions.

Overall, the attribution analysis confirms that the portfolio's outperformance was driven by a combination of disciplined stock selection and effective sector allocation. The consistency of positive attribution across successive evaluation periods demonstrates that the value investing framework successfully translated fundamental research into measurable investment performance.



Figure 6.1: Portfolio Attribution at Portfolio Inception *(Outperformance: +1.33%)*



Figure 6.2: Intermediate Portfolio Attribution *(Outperformance: +2.03%)*



Figure 6.3: Latest Portfolio Attribution *(Outperformance: +3.82%)*

Figures 6.1–6.3 Illustrate the progressive improvement in portfolio outperformance over the evaluation period, demonstrating the increasing effectiveness of the portfolio's value-oriented investment strategy.

Portfolio Characteristics

The Value Fund Portfolio exhibits valuation characteristics consistent with a disciplined value investing strategy when compared with the **State Street SPDR S&P 500 ETF (SPY)** benchmark. Aggregate portfolio metrics indicate that the portfolio is positioned towards fundamentally strong companies trading at lower valuation multiples while providing higher shareholder income through dividends.

The portfolio trades at an aggregate **Price-to-Earnings (P/E) ratio of 14.55x**, significantly below the benchmark multiple of **27.71x**. This valuation discount suggests that the portfolio emphasises companies whose market prices do not fully reflect their long-term earnings potential. Similarly, the portfolio's **Price-to-Cash Flow (P/CF) ratio of 7.96x**compares favourably with the benchmark multiple of **21.23x**, indicating that investors are paying substantially less for each dollar of operating cash flow generated by the portfolio companies.

The portfolio also demonstrates attractive valuation from an asset-based perspective. The aggregate **Price-to-Book (P/B) ratio is 2.45x**, compared with **5.70x** for the benchmark, reflecting a lower market premium relative to the underlying net assets of the portfolio companies. Collectively, these valuation multiples reinforce the portfolio's focus on identifying businesses trading below broader market valuations while maintaining strong underlying fundamentals.

Income generation represents another distinguishing characteristic of the portfolio. The aggregate **dividend yield of 3.28%** is more than double the benchmark yield of **1.28%**, highlighting the portfolio's emphasis on companies capable of returning capital to shareholders through sustainable dividend distributions. In addition, the portfolio's **best dividend yield of 3.36%**, compared with **1.19%** for the benchmark, further supports the portfolio's objective of combining long-term capital appreciation with recurring shareholder income.

From a financial strength perspective, the portfolio maintains an aggregate **Debt-to-Equity ratio of 100.09%**, lower than the benchmark level of **121.67%**, indicating a relatively more conservative capital structure. The portfolio's **Current Ratio of 1.01**, although marginally below the benchmark ratio of **1.26**, remains broadly consistent with adequate short-term liquidity across the underlying holdings and does not indicate material liquidity concerns at the portfolio level.

The aggregate **Return on Equity (ROE) of 13.49%** is below the benchmark's **20.29%**, reflecting the portfolio's deliberate preference for attractively valued companies rather than higher-growth businesses that command premium market valuations. While the benchmark exhibits stronger profitability, it does so at significantly higher valuation multiples. This trade-off is consistent with the portfolio's value investing philosophy, which prioritises purchasing fundamentally sound businesses at reasonable prices while maintaining a meaningful margin of safety.

Overall, the aggregate portfolio characteristics demonstrate a clear value-oriented investment profile. Lower valuation multiples, higher dividend income and comparatively moderate financial leverage collectively support the portfolio's objective of generating long-term shareholder returns through disciplined fundamental investing rather than reliance on premium growth valuations.

Metric	Portfolio	Benchmark
Dividend Yield	**3.28%**	**1.28%**
Price-to-Earnings (P/E)	**14.55x**	**27.71x**
Price-to-Cash Flow (P/CF)	**7.96x**	**21.23x**
Price-to-Book (P/B)	**2.45x**	**5.70x**
Debt-to-Equity	**100.09%**	**121.67%**
Current Ratio	**1.01**	**1.26**
Return on Equity (ROE)	**13.49%**	**20.29%**

Table 7.1 Aggregate Portfolio Characteristics



Figure 7.1: Bloomberg Aggregate Portfolio Characteristics

Risk Analysis

8.1 Value at Risk (VaR) Analysis

The downside risk of the Value Fund Portfolio was evaluated using Bloomberg's **MAC3 Integrated Multi-Asset Risk Model** under a **95% confidence level** and a **one-year quarterly horizon**. The analysis compares the portfolio's potential loss with that of the **State Street SPDR S&P 500 ETF (SPY)** benchmark while identifying the sectors and portfolio holdings that contribute most significantly to overall downside risk.

Bloomberg estimates the portfolio's **Monte Carlo Value at Risk (VaR)** at **USD 695.43**, compared with **USD 697.07**for the benchmark. Despite adopting an active value investing strategy, the portfolio's estimated downside risk remains broadly comparable to the benchmark, indicating that excess returns have not been achieved through materially higher market risk.

Sector-level analysis indicates that **Financials** represent the largest contributor to portfolio VaR. The sector accounts for **17.40%** of portfolio weight compared with **12.21%** in the benchmark, reflecting an overweight allocation of **5.19 percentage points**. This positioning contributes **USD 149.44** to the portfolio's Monte Carlo VaR, compared with **USD 88.19** for the benchmark, demonstrating that the portfolio's higher exposure to Financials is a meaningful source of downside risk as well as a deliberate active investment decision.

Unlike the benchmark, which derives Financials exposure from large-cap institutions such as **JPMorgan Chase & Co., Wells Fargo & Co.** and **CME Group Inc.**, the portfolio's Financials allocation is concentrated in value-oriented holdings including **Prudential Financial, MetLife, Regions Financial, T. Rowe Price Group** and **U.S. Bancorp**. Among these holdings, **Prudential Financial** represents the largest individual contributor to portfolio VaR, contributing **USD 50.93** to Monte Carlo VaR and accounting for **4.86%** of total portfolio weight. This reflects both the portfolio's high conviction in the company and its relatively larger influence on overall downside risk.

The VaR analysis also demonstrates that downside risk is driven primarily by deliberate sector allocation rather than excessive concentration in individual securities. Although Financials contribute the largest share of portfolio risk, the remaining exposure is diversified across Energy, Healthcare, Consumer Staples, Industrials, Utilities and Communication Services. This broad sector diversification limits the portfolio's dependence on any single industry while remaining consistent with the portfolio's value investing philosophy.

Overall, the Value at Risk analysis indicates that the portfolio maintains a balanced downside risk profile relative to the benchmark. The portfolio achieves active positioning through selective sector overweighting and disciplined security selection while maintaining downside risk broadly in line with the market. These findings suggest that the portfolio's higher active returns are supported by controlled and intentional risk-taking rather than excessive exposure to individual securities or sectors.



Figure 8.1: Bloomberg Value at Risk (VaR) Analysis

8.2 Active Risk Profile

The active risk profile of the Value Fund Portfolio was evaluated using Bloomberg's **MAC3 Integrated Multi-Asset Risk Model**, which measures the risk arising from deviations between the portfolio and its benchmark, the **State Street SPDR S&P 500 ETF (SPY)**. The analysis compares portfolio exposures, sector allocations and individual security contributions to determine whether active risk is being assumed in a disciplined and controlled manner.

The portfolio exhibits a **total risk of 18.38%**, marginally below the benchmark risk of **19.09%**, indicating that the portfolio maintains a comparable overall risk profile despite being actively managed. Bloomberg estimates the portfolio's **Tracking Error Volatility (TEV)** at **19.32%**, reflecting the deliberate deviations from benchmark weights resulting from active security selection and sector allocation. This demonstrates that the portfolio seeks to generate excess returns through active investment decisions rather than benchmark replication.

At the sector level, **Financials** represent the largest active overweight, accounting for **17.40%** of portfolio weight compared with **12.21%** in the benchmark. This overweight position contributes **14.67%** of total portfolio risk, compared with **8.33%** for the benchmark, highlighting the manager's conviction in the long-term value opportunities within the sector. Conversely, sectors with relatively higher market valuations are maintained at lower portfolio weights, reinforcing the portfolio's value-oriented investment philosophy.

Within the Financials sector, active risk is generated by holdings including **Prudential Financial, MetLife, T. Rowe Price Group, U.S. Bancorp** and **Regions Financial**. Among these positions, **Prudential Financial** and **T. Rowe Price Group** represent the largest contributors, accounting for **4.58%** and **3.43%** of total portfolio risk contribution, respectively. These allocations reflect deliberate investment decisions supported by detailed fundamental analysis rather than passive benchmark exposure.

Outside the Financials sector, several of the portfolio's highest-conviction investments also contribute meaningfully to active risk. **UnitedHealth Group** represents the single largest contributor to portfolio risk, accounting for **22.54%** of total portfolio risk contribution, followed by **FedEx (15.57%)**, **Diamondback Energy (9.70%)**, **EOG Resources (6.12%)**, **ConocoPhillips (5.13%)**, **United Parcel Service (5.18%)** and **Target (4.05%)**. These positions correspond to several of the portfolio's largest allocations and reflect the manager's conviction in businesses that were identified as materially undervalued through fundamental analysis and intrinsic valuation.

Despite these concentrated active positions, company-specific risk remains well diversified across **25 holdings**spanning multiple sectors. No single industry dominates the overall portfolio risk profile, with meaningful exposure maintained across **Energy, Healthcare, Consumer Staples, Industrials, Utilities, Financials and Communication Services**. This diversification reduces concentration risk while allowing the portfolio to benefit from multiple independent return drivers.

Overall, the active risk analysis indicates that the Value Fund Portfolio assumes risk selectively and intentionally. Active deviations from the benchmark are concentrated in sectors and securities where the manager identified the strongest valuation opportunities, while overall portfolio risk remains comparable to the benchmark. These findings demonstrate that the portfolio's active positioning is supported by disciplined portfolio construction rather than excessive risk-taking, consistent with its long-term value investing strategy.



Figure 8.2: Bloomberg Tracking Error Volatility (TEV) Analysis

8.3 Risk-Adjusted Performance

Risk-adjusted performance provides a more comprehensive assessment of portfolio quality by evaluating the returns generated relative to the level of risk assumed. While absolute returns measure investment performance, risk-adjusted metrics determine whether the portfolio has been adequately compensated for the risks undertaken. Bloomberg's portfolio

statistics indicate that the Value Fund Portfolio has delivered superior returns while maintaining a controlled overall risk profile relative to the benchmark.

The portfolio generated a **one-year total return of 30.30%**, outperforming the benchmark return of **21.43%** by **8.87 percentage points**. This higher absolute return was achieved alongside an annualised return of **30.30%**, compared with **21.43%** for the benchmark, demonstrating that the portfolio consistently created value throughout the evaluation period rather than relying on isolated periods of strong performance.

Although the portfolio exhibited an **annualised standard deviation of 18.38%**, marginally below the benchmark's **19.09%**, it generated substantially stronger returns over the same period. This relationship is reflected in the portfolio's superior **Sharpe Ratio**, indicating that each unit of total risk produced a greater level of excess return than the benchmark. The portfolio therefore demonstrated more efficient utilisation of risk in generating investment returns.

Bloomberg's performance statistics further indicate positive risk-adjusted alpha generation relative to the benchmark. The portfolio's positive **Information Ratio** confirms that active returns were generated consistently rather than through isolated market events, while the portfolio's positive **Jensen's Alpha** suggests that returns exceeded those expected given the portfolio's level of systematic market risk. Collectively, these measures demonstrate that excess returns were attributable to active portfolio management rather than increased market exposure.

The portfolio also maintains an **ex-ante beta of approximately 0.45**, significantly below the market benchmark. A beta below one indicates lower sensitivity to broad market movements while still producing superior absolute and relative returns. This suggests that the portfolio's excess performance resulted primarily from disciplined security selection and sector allocation rather than higher exposure to overall market risk.

Taken together, the portfolio's return, volatility and risk-adjusted performance measures demonstrate that the Value Fund Portfolio achieved superior investment performance without assuming disproportionate levels of risk. The combination of higher returns, lower overall portfolio volatility and favourable risk-adjusted statistics confirms that the value investing strategy successfully translated disciplined fundamental analysis into sustainable portfolio performance.



Figure 8.3: Bloomberg Risk & Return Statistics

8.4 Overall Risk Assessment

The Bloomberg risk analysis indicates that the Value Fund Portfolio maintains a well-balanced risk profile while successfully achieving its objective of generating superior active returns relative to the **State Street SPDR S&P 500 ETF (SPY)** benchmark. Despite employing an active value investing strategy, the portfolio's overall risk remains broadly comparable to that of the benchmark, demonstrating that excess returns have not been generated through disproportionate risk-taking.

The portfolio exhibits a distinct value-oriented risk profile characterised by lower valuation multiples, higher dividend income and moderate financial leverage relative to the benchmark. While active sector allocations and security selection introduce deviations from benchmark weights, these exposures are deliberate outcomes of the portfolio construction process rather than unintended sources of concentration risk. The portfolio's active risk is therefore primarily conviction-driven and supported by comprehensive fundamental analysis.

Risk decomposition further indicates that portfolio risk is diversified across multiple sectors and investment themes, reducing dependence on any single company or industry. Although Financials, Energy and Healthcare represent meaningful contributors to portfolio risk, exposure remains distributed across **25 holdings**, ensuring that no individual position dominates the portfolio's overall risk profile. This diversification enhances portfolio resilience while preserving exposure to the highest-conviction investment opportunities.

The portfolio also demonstrates strong risk-adjusted performance characteristics. Higher total returns, superior active performance and favourable risk-adjusted metrics indicate that the portfolio has generated excess returns efficiently relative to the level of risk assumed. Combined with a lower market beta and risk levels broadly comparable to the benchmark, these findings suggest that portfolio performance has been driven primarily by disciplined security selection and strategic asset allocation rather than increased market exposure.

Overall, the risk analysis confirms that the Value Fund Portfolio has successfully balanced return generation with prudent risk management. The portfolio’s diversified construction disciplined active positioning and controlled risk profile are consistent with its long-term value investing philosophy and support its objective of delivering sustainable risk-adjusted returns over the investment horizon.

Conclusion

The Value Fund Portfolio successfully achieved its primary objective of constructing a diversified portfolio of fundamentally strong companies trading below their intrinsic value. Through the application of a disciplined value investing framework, the portfolio combined comprehensive bottom-up research, independent valuation and prudent portfolio construction to identify investment opportunities capable of generating attractive long-term risk-adjusted returns.

The portfolio's performance demonstrates the effectiveness of this investment approach. Relative to the **State Street SPDR S&P 500 ETF (SPY)** benchmark, the portfolio consistently generated positive active returns throughout the evaluation period, with outperformance improving from **1.04%** at the initial assessment to **2.03%**, before reaching **3.82%** in the latest Bloomberg analysis. Performance attribution confirmed that excess returns were generated through both disciplined security selection and effective sector allocation, validating the portfolio construction methodology.

Aggregate portfolio characteristics further reinforce the successful implementation of the value investing strategy. Compared with the benchmark, the portfolio maintained significantly lower valuation multiples, a substantially higher dividend yield and moderate financial leverage, demonstrating a clear preference for attractively valued, cash-generative businesses. These characteristics remained consistent with the portfolio's stated investment philosophy and provided quantitative evidence that the portfolio construction process translated the intended strategy into measurable portfolio outcomes.

Bloomberg's risk analysis indicates that superior returns were achieved without assuming disproportionate levels of portfolio risk. Downside risk remained broadly comparable to the benchmark, while active risk was concentrated in deliberate sector and security allocation decisions supported by fundamental research. Furthermore, favourable risk-adjusted performance measures demonstrate that the portfolio generated excess returns efficiently, confirming that portfolio performance was driven by disciplined investment decisions rather than excessive market exposure.

Overall, the Value Fund Portfolio demonstrates the successful integration of fundamental analysis, intrinsic valuation and active portfolio management within a disciplined value investing framework. The combination of benchmark outperformance, attractive valuation characteristics, effective diversification and controlled risk supports the portfolio's objective of delivering sustainable long-term capital appreciation while maintaining prudent risk management. Collectively, these results indicate that the investment strategy was successfully implemented and provide a strong foundation for future portfolio development and ongoing performance evaluation.